

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO. 24-13

ACCESS ONE TRANSPORT, INC.,
Complainant,

v.

COSCO SHIPPING LINES CO. LTD.,
Respondent.

RESPONDENT'S OPPOSITION BRIEF

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TABLE OF CONTENTS

<u>INTRODUCTION</u>	1
1. <u>Where We Stand</u>	1
2. <u>Background</u>	2
<u>PROPOSED FINDINGS OF FACT</u>	5
<u>ARGUMENT</u>	6
1. <u>BURDEN OF PROOF</u>	6
2. <u>AOT HAS FAILED TO PROVE A VIOLATION OF § 46 U.S.C. § 41102(c)</u>	7
A. <u>The Established Framework for Evaluating Challenges to Detention Charges</u>	7
B. <u>Complainant Has Not Proven Essential Elements of a 46 U.S.C. § 41102(c) Claim</u>	11
i. <u>The Shipping Act Does Not Obligate Ocean Carriers to Always Have Space for Return of Equipment</u>	14
ii. <u>Complainant’s Miscellaneous Quibbles Are Irrelevant</u>	16
3. <u>AOT FAILS TO PROVE A VIOLATION OF 46 U.S.C. § 41104(a)(3) and (8)</u>	21
A. <u>AOT Has Failed to Prove a Violation of 46 U.S.C. § 41104(a)(8)</u>	21
i. <u>No Service Was Provided by COSCO to AOT Pursuant to a COSCO Tariff</u> ..	22
ii. <u>COSCO Did Not Impose a Preference or Prejudice</u>	23
B. <u>AOT Has Failed to Prove a Violation of 46 U.S.C. § 41104(a)(3)</u>	25
i. <u>§ 41104(a)(3) Pre-OSRA22</u>	28
4. <u>AOT HAS NOT PROVEN A RIGHT TO ANY FORM OF REPARATIONS</u>	30
A. <u>Reparations for Unwaived Detention Charges</u>	31
B. <u>AOT Has Not Demonstrated a Right to Consequential Damages</u>	31
i. <u>Failure to Demonstrate Proximate Cause</u>	31
ii. <u>Failure to Prove “Actual” Injury</u>	35
iii. <u>Individual Categories of Consequential Damages</u>	38
a. <u>Chassis Storage</u>	38
b. <u>Chassis Rental</u>	39
c. <u>Stop-Over</u>	39
d. <u>Re-Delivery</u>	40
C. <u>AOT is Not Entitled to Additional Damages Under 46 U.S.C. § 41305(c)</u>	40
D. <u>AOT Failed to Mitigate its Damages</u>	40

<u>CONCLUSION</u>	42
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TABLE OF AUTHORITIES

FMC CASES

<i>Anderson International Transport – Possible Violations</i> , FMC Dkt. 07-02, 32 S.R.R. 1678 (FMC 2013).....	11
<i>California Shipping Line v. Yangming Marine Transport Corp.</i> , FMC Dkt. 88-15, 25 S.R.R. 1213, 1230-31 (FMC 1990)	35, 41
<i>Cotton Import & Export Co. v. Sea-Land Service, Inc.</i> , 20 S.R.R. 260 (FMC 1980)	36
<i>DSW International, Inc .v. Commonwealth Shipping Co.</i> , 2011 WL 7144019 (I.D. 2011)	33
<i>Edaf Antillas, Inc. v. Crowley Caribbean Logistics</i> , 2014 WL 5824274, at *13 (ALJ, Order Granting Motion to Dismiss).....	24
<i>Government of the Territory of Guam v. Sea-Land Service, Inc.</i> , Docket No. 89-26, 29 S.R.R. 894 (ALJ, Admin. Final 2002)	36, 39
<i>Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)</i> , FMC Dkt. 21-09, 4 FMC 2d 53, 94 (I.D. 2022)	10
<i>James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.</i> , 30 S.R.R 8, 13 (FMC 2003).....	6, 33
<i>KCS International, Inc. v. RTM Line, Ltd.</i> 1995 WL 301960 at * 4 (SO 1996).....	35
<i>Kobel v. Hapag-Lloyd A.G.</i> , 2014 WL 5316331, at *12–13	33
<i>Marine Transport Logistics, Inc. v. CMA CGM, S.A.</i> , FMC Dkt 22-23, WL 5229686 at 32 (Initial Decision dismissing complaint, December 18, 2024)	38
<i>Mine Safety Appliance Co. v. Springbok Shipping Co.</i> , 20 S.R.R. 410. 413 (S.O. 1980)	37
<i>Muzorori v. Canada States Africa Lines</i> , FMC Dkt. 1949(F), 2015 WL 9582593 (I.D. Dec. 23, 2015).....	30, 32
<i>New Orleans Stevedoring Co. v. Board of Commissioners of the Port of New Orleans</i> , 29 SRR 345, 352 (ALJ 2001)	24
<i>OJ Commerce, LLC v. Hamburg Sud</i> , 2024 WL 4034610 (F.M.C. Aug. 27, 2024)	28
<i>Prudential Lines, Inc. v. Farrell Lines, Inc.</i> , 26 F.M.C. 497 (I.D. 1984)	32, 34, 35
<i>Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.</i> , FMC Dkt. 96-05, 2001 WL 865708 at *76 (F.M.C. 2001).....	32, 35, 41
<i>Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves</i> , FMC Dkt. 14-06, 3 F.M.C.2d 59, 67 (FMC 2021).....	6
<i>Snyder General Corp. v. South African Marine Corp.</i> , 25 S.R.R. 373 (I.D., Admin. Final 1983)	36

<i>States Marine Lines v. Federal Maritime Commission</i> , 313 F.2d 906 (D.C. Cir. 1963)	36
<i>TCW, Inc. v. Evergreen Line Joint Service Agreement</i> , 3 FMC 2d 1 (S.O. 2021), <i>aff'd</i> 5 FMC 2d 192 (FMC 2022), <i>vacated and remanded by Evergreen Shipping Agency (America) Corp. v. FMC</i> , 106 F.4th 1113 (D.C. Cir. 2024)	7, 8, 9, 10, 11, 12, 16, 33
<i>Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co.</i> , 26 S.R.R. 788, 798 (I.D., Admin. Final 1992)	30
<i>Transworld Shipping (USA), Inc. v. FMI Forwarding (San Francisco), Inc.</i> , FMC Dkt. 01-02, 2001 WL 1085436 at *5–6 (I.D. Aug. 3, 2001)	37
<i>Volkswagenwerk v. FMC</i> , 390 U.S. 261 (1968)	24

CASES

<i>APL Co. PTE Ltd. v. Blue Water Shipping U.S. Inc.</i> , 592 F.3d 108, 111 (2d Cir. 2010)	40
<i>Glenn Distribs. Corp. v. Carlisle Plastics, Inc.</i> , 297 F.3d 294, 302-303 (3d Cir. 2002)	40
<i>Holbrook Chipper, Inc. v. Georgia-Pacific Corp.</i> , 81 F.3d 168, 1996 WL 136915 (9th Cir. 1996)	40
<i>Home Indem. Co. v. Lane Powell Moss & Miller</i> , 43 F.3d 1322, 1329 (9th Cir. 1995)	41
<i>Refinement Int'l Co. v. Eastbourne</i> , 815 F. Supp. 738, 744 n.11 (S.D.N.Y. 1993)	37
<i>Ruberto v. Commissioner of Internal Revenue</i> , 774 F.2d 61, 64 (2nd Cir. 1985)	37

STATUTES

46 U.S.C. § 41305(b)	30, 32
46 U.S.C. § 41305(c)	40
46 U.S.C. § 41102(c)	7, 9
46 U.S.C. § 41104(a)(2)	23
46 U.S.C. § 41104(a)(3)	25, 28
46 U.S.C. § 41104(a)(4)	23
46 U.S.C. § 41104(a)(5)	23
46 U.S.C. § 41104(a)(8)	21, 22, 23, 24
46 U.S.C. § 41104(a)(9)	23
46 U.S.C. § 41104(a)(12)	23

REGULATIONS

46 C.F.R. § 502.203	6
46 C.F.R. § 545.5	8

46 C.F.R. §§ 541.7	17
46 C.F.R. 541.7(a).....	18
46 C.F.R. 541.8.....	17
46 C.F.R. 541.8(a).....	18
46 C.F.R. 541.8(b)	18
46 C.F.R. 545.4.....	32

OTHER AUTHORITY

<i>Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier</i> , 89 Fed. Reg. 59648-59649 n.3 (July 23, 2024) (Final Rule) (codified at 46 C.F.R. § 542)	26
<i>Final Rule on Demurrage and Detention Billing Requirements</i>	39
<i>Interpretive Rule on Demurrage and Detention Under the Shipping Act</i> , 85 Fed. Reg. 29638, 29640 (May 18, 2020) (codified at 46 C.F.R. § 545.5).....	3, 33
Commissioner Rebecca F. Dye, <i>Commissioner Announces Findings of San Pedro Bay Discussions – June 17, 2020</i> , https://www.fmc.gov/articles/commissioner-dye-announces-findings-of-san-pedro-bay-discussions-june-17-2020/	4, 24
<i>Statement of the Commission on Retaliation</i> Docket No. 21-15, (FMC, December 28, 2021)....	28

RELEVANT STATE REGULATION

EXECUTIVE DEPARTMENT STATE OF CALIFORNIA EXECUTIVE ORDER N-19-21 RX054, RX046.....	15
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OTHER

Corbin Contracts, § 57.11 (2005)	41
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Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”), through its undersigned attorneys, submits this Opposition Brief (“Opposition”) in response to Opening Brief (“Brief”) of Complainant Access One Transport, Inc. (“Complainant” or “AOT”).

INTRODUCTION

1. Where We Stand

AOT is, according to its Brief and proposed findings of fact, a drayage trucker that provides motor transportation of full¹ and empty containers between various marine terminals and the premises of various consignees. The Brief says that AOT provides both merchant drayage and carrier drayage. When AOT provides merchant drayage, it does so pursuant to a contract between AOT and the merchant at issue, and it acts as an agent of the merchant. In these circumstances, AOT’s customer is the consignee/merchant to which it is providing the service, and which compensates AOT for the drayage.

When AOT provides carrier drayage to transport containers between terminal and merchant, it is engaged by and contracts with the ocean carrier (here, COSCO). In such circumstances, COSCO is the customer of AOT (not vice versa), which provides service on behalf of COSCO in return for compensation from COSCO. When acting in this capacity, AOT is subject to the terms and conditions of the contract between it and COSCO. The Uniform Intermodal Interchange Agreement (“UIIA”) and the relevant addendum comprise the controlling contract between AOT and COSCO governing the interchange of COSCO’s containers.

¹ Because AOT’s Complaint addresses only detention charges – i.e., charges for late return of empty containers – references to containers herein mean empty containers, unless otherwise indicated by statement or context.

The gravamen of the Complaint is Complainant's assertion that Respondent violated the Shipping Act by assessing detention charges for empty containers that AOT failed to timely return during the period from July 2021 through October 2022.

The scope of the Complaint has been substantially narrowed since its filing. As AOT itself admits, COSCO has previously canceled or waived the large majority of the detention charges covered by the Complaint. According to AOT, the Complaint was originally about 379 containers. Only 61 containers, involving circumstances where AOT paid the detention charges before potential waivers were decided, remain in dispute.² Brief at 6. The 61 containers that AOT says remain in play are reflected in eighteen invoices, alleged by Complainant to cover detention charges totaling \$45,995.000. Brief at 38, 43.

2. Background

As the Commission is well aware, the entire supply chain was under great stress during the years 2020 and 2021, due to the pandemic and its aftermath. Port congestion and shortages of motor power caused significant disruptions to ocean and land carriers, ports, terminals, and shippers/consignees. Container shortages were widespread, both in the United States and in foreign countries such as China, where much of the cargo imported into the United States originates.

The waning of the pandemic resulted in a sharp and substantial surge in demand, affecting all participants in the international supply chain. Vessels at some ports were forced to idle at sea, in long lines extending at times for miles. Ports were increasingly congested, substantially slowing

²AOT has also withdrawn its allegations with respect to the single outstanding (unpaid) detention invoice.

throughput and creating logjams of containers. Drayage truckers, like many other providers working in the U.S. transportation system, were underpaid and overworked.³

In that context, the FMC itself expressly recognized that detention charges (and the related charge of demurrage) constituted an important tool to fight delays by incentivizing consignees and their truckers to: (i) pick up loaded containers as promptly as possible, so as to clear terminal space for newly arriving inbound containers, and (ii) to return empty containers to ocean carriers as promptly as possible, so that other customers might use the equipment. *See Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29638, 29640 (May 18, 2020) (codified at 46 C.F.R. § 545.5) (“Interpretive Rule”) (“Consistent with Commission caselaw on section 41102(c), the chief consideration was whether ocean carrier and marine terminal operator practices are tailored to meet their intended purposes. In the case of demurrage and detention... this means considering the extent to which demurrage and detention serve their purposes as financial incentives to promote freight fluidity.”). At the same time, the FMC also identified that, in some cases, detention charges could not perform that function, specifically where the “terminal refuses to accept the container” and in those cases, the charges should be cancelled or waived (as COSCO did with respect to the vast majority of charges to AOT). *Id.* at 29656.

All participants took steps to improve the situation. Marine terminals, for example, were encouraged to ease the problems facing truckers relating to the time it took to return an empty container, by adopting “dual transaction” or “dual move” requirements, ensuring that a trucker could perform both an ingate (returning an empty container) and an outgate (pulling a loaded

³ See, e.g., “4 charts show the effects of West Coast port congestion and supply chain delays,” Matt Leonard, SUPPLY CHAIN DIVE (Feb. 16, 2021) <https://www.supplychaindive.com/news/california-port-congestion-los-angeles-long-beach-data/594715/> (last accessed Jan. 9, 2025).

container out of the marine terminal) in the same visit. The concept behind this proposed solution was to allow truckers to operate more efficiently and get two payments for essentially the same terminal visit. *See* RX049. In an attempt to promote dual transactions and their accompanying efficiencies, the Port of Los Angeles announced a “Dual-Transaction Incentive Program” that was aimed at boosting cargo efficiency in early 2020. This program offered a payment to terminals that have at least half of all trucks calling make dual moves. *See* RX042. The San Pedro ports kept looking for additional ways to improve efficiency and address congestion. *See* RX059.

Indeed, the author of the FMC’s “Incentive Principle,” Commissioner Rebecca F. Dye, recommended that dual moves can reduce the number of chassis required. *See* RX065.

It is important to recognize that these dual move requirements were imposed by marine terminal operators, not by vessel operators such as COSCO. And as discussed above, they were imposed by marine terminals both for the terminals’ own benefit (to help clear backlogs of loaded containers and reduce congestion at the gates), and for the benefit of truckers, who could now get paid twice for one visit to a terminal. Dual move terminal requirements do not benefit ocean carriers, as they may make it harder for ocean carriers to achieve timely return of their containers.

Not every trucker benefited from these dual moves every time it had an empty container to return. Although a dual transaction is highly advantageous to a trucker who has both an empty container to return and a load to pick up, dual move requirements may make life more difficult for a trucker that had only a return on a particular date. Not all terminals imposed dual transaction requirements, however, so truckers generally had a place where they could return an empty container without an offsetting load to pick up.

Both the ocean carriers and the Commission responded to this problem by adopting amelioratory measures. Ocean carriers increasingly waived or canceled charges for late pick up or

return (as COSCO did here). And as explained above, the FMC promulgated the Interpretive Rule. We will discuss that Rule, and its modification by the courts, in some detail below, but for now, we note only that it sets a specific, mandatory framework for a complainant alleging that an ocean carrier violated the Shipping Act by charging detention for a particular shipment on a particular day. Under the FMC/court standards, a complainant must show, for each specific shipment and for each day for which a detention charge was assessed, that: (1) the complainant (or its agent) could not return an empty container on that specific date; (2) the inability to make the return was due to factors their control; and (3) the charge assessed for that specific day could not have served to incentivize return on that or an earlier date.

PROPOSED FINDINGS OF FACT

The facts in this matter are laid out in great detail in Respondent's contemporaneously filed Proposed Findings of Fact ("RPFFs") and Respondent's Responses to Complainant's Proposed Findings of Fact ("RCPFFs"), each incorporated herein by reference. The key (undisputed) facts may be summarized as follows.

- AOT is a drayage trucker that provides truck transportation between various terminals in the Ports of Los Angeles and Long Beach and consignees' locations, including, as relevant here, return of empty containers from consignees to the designated return facilities. RPFFs 9, 15.
- Despite its contractual obligation to COSCO to return empty COSCO containers during free time, AOT in fact returned at least 379 containers after free time had expired. RPFF 63.
- For at least some of those containers, AOT never made any attempt to return the container during free time. RPFFs 72-73.

- COSCO issued detention invoices to AOT for these 379 late-returned containers. In compliance with its tariff rule, however, COSCO did not charge AOT for weekends and holidays, even though the facilities may have been open and available to receive empty containers during those time periods. AOT, by its own admission, never tried to return empty containers on those days, thus contributing to its own problem. RPFFs 34, 62.
- Based on discussions with AOT, COSCO waived detention charges on nearly 85 percent of the containers (318 of 379). RPFF 64.

ARGUMENT

1. BURDEN OF PROOF

It needs little discussion or citation to identify that, in a case asserting violations of the Shipping Act, the complainant bears the burden of proof. 46 C.F.R. § 502.203. “Under the Administrative Procedure Act (APA) and Commission precedent, Complainants have the burden of proving Respondents violated the Shipping Act, and this burden of proof does not shift.” *Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC Dkt. 14-06, 3 F.M.C.2d 59, 67 (FMC 2021) (citing 5 U.S.C. § 556(d); *DSW Int’l Inc. v. Commonwealth Shipping, Inc.*, 32 S.R.R. 763, 765 (FMC 2012)). As discussed further below, Complainant also bears the burden of proving its entitlement to reparations. *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003) (quoting *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (1950)).

In this case, as demonstrated below, Complainant has failed even to make out a *prima facie* case, much less prove its claims.

2. AOT HAS FAILED TO PROVE A VIOLATION OF § 46 U.S.C. § 41102(c)

Count I of the Complaint avers that COSCO violated 46 U.S.C. § 41102(c), which forbids an ocean carrier from engaging in unreasonable practices in connection with the assessment of detention. AOT expressly states that its claims “concern the wrongful billing of detention by COSCO.” Brief at 5. In essence, AOT argues that COSCO should not have charged it detention or should have refunded detention that AOT paid because, as AOT now says, it was unable to return those containers on those days, for reasons beyond its control. As explained above, COSCO waived the vast majority of the charges, so the remaining dispute covers only 61 containers reflecting total detention charges of \$45,995.

As we now show, the Commission and the courts have already established a mandatory framework for challenging detention charges before the Commission, and Complainant has failed to meet those requirements.⁴

A. The Established Framework for Evaluating Challenges to Detention Charges

In *TCW v. Evergreen Shipping Agency*, the Federal Maritime Commission and United States Court of Appeals for the District of Columbia developed a framework for addressing alleged claims that an ocean common carrier improperly charged detention for a date when the consignee (or its trucker agent) could not return an empty container for reasons outside of its control. Under those standards, a would-be complainant alleging unreasonable detention charges must prove the alleged violations on a shipment-by-shipment, date-by-date, charge-by-charge basis. Specifically,

⁴ Complainant has also suggested, without any support, that an ocean carrier violates the Shipping Act whenever it does not provide available space for every single return of empty containers anyone may care to make, on any specific date it wants to make the return. This is ***decidedly not*** the law. As we show below, any such assertion is unsupported by FMC precedent, is totally inconsistent with the Interpretive Rule, and is not a matter for the FMC under the Shipping Act, but rather for the federal courts under their exclusive jurisdiction over maritime disputes.

a complainant must **prove** that: (1) the complainant (or its agent) could not pick up or return the container on the specific date; (2) that this inability was due to reasons outside of its control; and (3) the charge assessed for that specific day could not have served to incentivize earlier movement of the container. *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, FMC Dkt. 1966(I), 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022), *vacated and remanded*, *Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) (collectively “TCW”).

The Commission’s holding in *TCW* emphasized the Incentive Principle as expressed in 46 C.F.R. § 545.5, explaining that: “In general, the Commission will consider the extent to which [charges] are serving their intended primary incentivizing purpose.” 5 F.M.C. 2d at 200. In that case, the FMC further found that a charge could not serve an incentivizing purpose if the complainant could not return a container on a particular day, for example, if the port were closed. In this respect it stated, *inter alia*: “The SCO correctly found that the per diem charges were unreasonable because ‘they could not have incentivized cargo movement given that the port was closed on those days, making it impossible for Claimant to return the equipment.’” 5 F.M.C. at 200-01.

In assessing the carrier’s compliance with the Incentive Principle, the Commission, like the Small Claims Officer, addressed the alleged violations (and requested reparations) on a day-by-day basis, holding that the ocean common carrier had improperly charged detention for the specific days when the port was closed but allowing the assessment of detention on days when the port was open. Thus, the Commission expressly recognized that the propriety of such daily charges could be addressed only by reference to the specific days for which they were charged, to see if the complainant were precluded from picking up or returning a container for reasons beyond its control, such as closure of the relevant facility.

The D.C. Circuit agreed with the Commission that it is relevant to evaluate whether the complainant was precluded by events outside its control from returning an empty container on a particular day. But it went on to say that such a showing **was not**, by itself, enough to prove a violation. The court concurred with the Commission that it is critical to evaluate the potential for a specific detention charge to incentivize earlier return of containers. But the court firmly rejected the Commission's conclusion that a complainant's inability to return a container on a particular day is itself sufficient to prove that the charge could not have had an incentivizing effect. Instead, the D.C. Circuit concluded quite to the contrary that further proof was needed to demonstrate that the charge could not have incentivized earlier return of empty containers. In this respect, the court concluded the Commission "failed . . . adequately to analyze the effect of the detention charges at issue here." *TCW*, 106 F.4th at 1114. The court further found that the Commission's single-factor analysis was overly simplistic, holding that a determination of whether a particular charge for a particular shipment on a particular day violated 46 U.S.C. § 41102(c) instead requires a fact-intensive inquiry into all of the relevant facts concerning the container. In particular, the D.C. Circuit stated, *inter alia*, that: "It was arbitrary and capricious for the FMC to commit to making a circumstantial, fact-bound inquiry in the interpretive rule and then, when it came time to apply the rule, to jettison all but its favorite factor." 106 F.4th at 1118. Likewise, the court found that the Commission's reasoning was:

"charitably put, implausible. Bright line rule or not, the Commission errs insofar as it maintains a detention charge necessarily lacks any incentivizing effect because it is levied for a day on which a container cannot be returned to a marine terminal. On the contrary, being charged for detention during a port closing announced before the carrier picks up the equipment heightens the incentive to return equipment on time." *Id.*

Thus, under the court's holding in *TCW*, the Commission may not simply assume, as it had earlier in that proceeding, that the assessment of detention charges is improper just because the

complainant was unable, through no fault of its own, to return container on a specific date. Instead, the Commission must analyze all of the relevant facts and circumstances pertaining to that container on that date to see if the charge might have promoted container flow by encouraging return at an earlier date. In particular, the court said that the Commission must consider, *inter alia*, whether a charge for Saturday or Sunday incentivizes a shipper to return that container on Friday (or earlier).

As the above discussion demonstrates, both the Commission's and the D.C. Circuit's decisions in *TCW* make clear beyond all peradventure that a claim for unreasonable assessment of detention or demurrage charges must be evaluated on a shipment-by-shipment, date-by-date basis. Even if return of a particular container may be impossible on one day, return may well be possible the next day (or the day before). And, as the D.C. Circuit held, the Commission may not automatically eliminate charges for days when the facility is closed but must instead make a fact-bound inquiry and weigh all of the particular facts and circumstances to determine whether a specific day's charge was potentially capable of incentivizing an earlier return.

The inescapable conclusion of *TCW* that a complainant claiming a violation of 46 U.S.C. § 41102(c) must prove that claim by addressing specific shipments and specific dates for which detention was charged is supported by additional FMC precedent. In *Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. 21-09, 4 FMC 2d 53, 94 (I.D. 2022), for example, the Presiding Officer found it necessary to look at the alleged violations of the Shipping Act on a container-by-container and day-by-day basis, concluding that, "BOE did not establish a violation for all eleven shipments or for all days of detention." Accordingly, she found violations of 46 U.S.C. § 41102(c) only for some shipments on some days. Furthermore, in this very case, the Presiding Officer stated that Complainant's allegation of multiple of 46 U.S.C. § 41102(c)

concerning different shipments made it “likely that [complainant] would need to establish an inability to return each container.” *Access One v. COSCO*, FMC Dkt. 24-13 (ALJ Order Denying Partial Motion to Dismiss, June 4, 2024). This is, of course, the usual method the FMC uses for determining violations concerning a respondent’s actions respecting multiple shipments. *See, e.g., Anderson International Transport – Possible Violations*, FMC Dkt. 07-02, 32 S.R.R. 1678 (FMC 2013) (shipment-by-shipment review of whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

B. Complainant Has Not Proven Essential Elements of a 46 U.S.C. § 41102(c) Claim

As demonstrated above, the framework created by the Commission and the D.C. Circuit in *TCW* requires that a complainant challenging detention charges under 46 U.S.C. 41102(c) provide proof of three elements: (i) that the complainant was unable to return the container on a specific date for which it was charged (ii) that the reason complainant could not make a return on that date was due to circumstances beyond its control, and (iii) that assessment of a charge for that date could not have incentivized earlier return of the container.

Complainant fails to address, much less establish, any of the elements required by the *TCW* framework. Indeed, even though *TCW* is the directly controlling precedent, AOT does not even mention it in the Brief. One will search in vain for any reference to *TCW* in either the text or the Table of Authorities.

Although, as discussed immediately below, Complainant has failed to demonstrate either of the first two elements (inability to return and a reason outside its control) for any challenged charge, it is indisputable that Complainant has not even addressed, much less proven, the third element, expressly required by the D.C. Circuit -- that the assessment of detention for those days could not have incentivized earlier return. For all the record reveals, even if one assumes that AOT

could not have returned empty containers on days identified by AOT, complainant has provided no evidence, required by the D.C. Circuit, that Complainant could not have returned the container on an earlier date, eliminating detention altogether. Accordingly, the Presiding Office should, dismiss the Complaint for AOT's failure to prove *TCW* element three (i.e., that assessment of the charge for that date could not have incentivized earlier return of the container), without proceeding any further.

Although there is thus no need for the Presiding Officer to address the first two elements, AOT has failed to prove them as well. For the 318 containers as to which COSCO waived detention charges yet Complainant suggests a violation, AOT has provided no evidence that it could not return the container on a timely basis (including not just the days on which it failed, but earlier days on which it might have been successful). Still less does it provide anything from which the Presiding Officer might reasonably conclude that AOT's failure was due to reasons outside AOT's control. Instead, it argues that the fact of violation is proven by COSCO having waived charges for these containers. But this is obviously not a serious argument. The whole requirement that carriers maintain a dispute resolution process is to the contrary. There is no requirement, or even suggestion, that the process is to replicate the requirements of the statute. Carriers are not asked, for example, to hire administrative law judges to take evidence and determine whether a shipper/trucker has proven its claim by a preponderance of the evidence based on admissible testimony/documentation. Rather, it is an opportunity for commercial settlement and compromise based on reasonable justification. And the Commission encourages carriers to grant waivers liberally. Should the Commission say that waiver of charges proves a violation, there would be no reason for an ocean carrier to ever waive a charge without a formal proceeding at the FMC.

As to the 61 remaining containers, AOT has provided some evidence for some containers, while offering none for others. In particular, AOT offers no evidence, either by way of screenshots or by a claim that COSCO waived charges for other containers on that same date for the following containers:

	Container Number	Invoice Number	Dates Lacking Documentation
1	FFAU3181482	HOU00091151	May 2 – 3, 2022
2	CSNU7195096	HOU00091152	May 2, 2022
3	OOCU7578753	HOU00091529	May 2, 2022
4	XYLU8114304	HOU00098379	May 13 – 24, 2022
5	OOLU6850420	HOU00098379	May 13 – 16, 2022
6	UETU5323081	HOU00098379	May 13 -17, 2022
7	FSCU8831653	HOU00098379	May 13 – 16, 2022
8	OOLU9968736	HOU00098380	May 13 – 16, 2022
9	TGBU4854030	HOU00098380	May 13 – 23, 2022
10	DFSU7630915	HOU00098379	May 13 – 16, 2022
11	TEMU6361032	HOU00098380	May 13 – 17, 2022
12	OOLU6893145	HOU00098379	May 13 – 23, 2022
13	TLLU5742117	HOU00098380	May 13 – 16, 2022
14	CSNU8070093	HOU00098380	May 13 – 16, 2022
15	FFAU3186674	HOU00098380	May 16 – 17, 2022
16	FSCU8987440	HOU00098380	May 13 – 18, 2022
17	CAIU9569793	HOU00098380	May 13 – 18, 2022

18	GESU6910574	HOU00098379	May 16 – 23, 2022
19	WBOU7025860	HOU00098379	May 17 – 24, 2022

See RPFF69.

i. **The Shipping Act Does Not Obligate Ocean Carriers to Always Have Space for Return of Equipment**

AOT does not suggest that COSCO did not provide any return location options on any particular day on which AOT was assessed detention. Rather, Complainant suggests, without any supporting argument, that ocean common carriers such as COSCO are obligated by the Shipping Act to make space available on demand for consignees to return empty containers. Complainant cites no FMC case holding that any ocean common carrier violated the Shipping Act by not having space available when the consignee wanted it. Nor has our own substantial research unearthed any such precedent.

Moreover, Complainant's entire argument alleging that COSCO provided inadequate terminal space during the detention period is a red herring, as Complainant has not even attempted to demonstrate that it could not return the containers during the free time allotted. AOT has not made any showing, or even any argument, that it attempted to return the containers during free time and has only provided Blue Cargo screenshots for the detention period that commenced after free time elapsed. Indeed, AOT's own documents make clear that, for nine of the 61 remaining containers, AOT did not make any attempt at return until after free time had expired. See RPFF72. It is also worth noting that, of the 52 other containers in dispute, AOT first attempted to return fully 46 of them (88%) on the *very last free day available*. See RPFF73.

Complainant's only attempt to support its peculiar claim that COSCO provided inadequate space is a snippet from 85 Fed. Reg. 29638, 29650 (May 18, 2020) (supplemental information to

the Final Interpretive Rule), in which the Commission stated only that: “Ocean carriers must provide adequate terminal facilities.” Brief at 39. But that snippet, which was almost certainly referring to common law obligations of common carriers, says nothing about providing unlimited space and capacity for return of empty containers. And as stated above, there is no precedent holding that an ocean carrier violates the Shipping Act every time there is no space available for truckers to return empty containers, due to exigent circumstances such as those that occurred during the relevant period. Indeed, there is no practical way for any ocean carrier to assure available space 100 percent of the time during such a supply chain crisis. The property used to land containers and make them available is generally owned by public entities, namely, the cities of Los Angeles and Long Beach (as managed through their Port Authorities), and operated by terminal operators that COSCO, at least, does not control.

Further, to the extent that anyone has a responsibility to ensure that space is always available for return of empty containers, that obligation would appear to fall on the ports and terminal operators that actually control the available space.⁵ They too are equally subject to 46 U.S.C. §41102(c).

Indeed, any argument that an ocean carrier must make space available for return of empty containers in unlimited amount at all times is directly inconsistent with the very Interpretive Rule on which AOT relies. That rule is expressly premised on the contrary understanding that there *are* necessarily times when an ocean common carrier *cannot provide* sufficient space to meet demand for return of empty containers. In those circumstances, the Rule states, it may be improper for the

⁵ Indeed, the Governor of the State of California took executive action to find additional lands for the use of the Ports of Los Angeles and Long Beach at the height of the period of congestion. RX054, RX046.

carrier to charge detention. But nothing in the Rule states that a carrier has *already* violated the Shipping Act when adequate appointments are not available for each and every trucker. Indeed, the Interpretive Rule would be both superfluous and meaningless if a carrier has already violated the Shipping Act even before it charges *per diem* and even if it decides not to charge *per diem*. Put simply, the Commission would not need the Incentive Principle – or the Interpretive Rule – if a carrier’s failure to provide adequate appointments on any given day constituted a violation of the Shipping Act. The Incentive Principle only makes sense when considered along with the reality that there are some days where carriers cannot provide space for every trucker to return every container, for reasons totally outside the carrier’s control.

The novel interpretation of the Shipping Act proposed by Complainant is also directly contrary to the D.C. Circuit’s decision in *TCW*, which holds that inability to return a container is not itself sufficient to find a violation of the Shipping Act. Instead, the Commission must undertake a fact-specific inquiry to determine whether the consignee was unable to return the container for reasons beyond its control and whether the charge could not have incentivized earlier return. If Complainant was right, there would not be any need to consider whether the charge might or might not have incentivized earlier return, as the carrier would have violated the Act whether or not it charged *per diem* and the issue of incentives would be moot.

ii. Complainant’s Miscellaneous Quibbles Are Irrelevant

In addition to its principal argument that COSCO violated the Shipping Act whenever it charged detention to AOT, Complainant raises several cavils about specifics aspects of COSCO’s processes. None of them holds any water.

1. AOT alleges that COSCO acted unreasonably because COSCO has “not identified or provided any mechanism to ensure that the terminals it designates for empty returns actually has space or available appointments.” Brief at 40.

This assertion is obviously silly, and of a piece with AOT’s assertion that an ocean common must provide space for return in infinite amounts. How on earth is a carrier to do that? Terminals have only a finite amount of space. A carrier can designate a specific terminal that has space at the moment of designation, but how could COSCO possibly assure that the terminal, which COSCO neither owns nor controls, will have enough space if 10, 50, 100, or 500 truckers show up that day. That is precisely why ocean carriers provide truckers with lists of multiple terminals where return may be made. It is the trucker’s job to determine which of the listed terminals has space available at a time that works for the trucker.

2. Equally facetious is AOT’s suggestion that the Shipping Act requires COSCO to conduct a fulsome investigation into why a trucker did not return a container on time before issuing a detention invoice.

AOT suggests that COSCO’s actions should be found unreasonable because COSCO assessed detention charges without first conducting an investigation into the reasonableness of each specific charge, relying instead on shippers to identify unreasonable charges. Brief at 38. Apart from the facts that semi-automated invoices including late fees are used by most (if not all) ocean carriers and that they are a norm throughout everyday life (e.g., from doctors, utilities, and all sorts of service providers), Complainant apparently is unaware that the Commission has issued regulations prescribing the billing process that carriers must use for detention and demurrage. 46 C.F.R. §§ 541.7, 541.8. COSCO’s billing practices are in strict accord with those regulations, and AOT has made no attempt to show otherwise.

The FMC’s Rules contemplate that investigation of detention and demurrage invoices will take place after the billed party has complained, not before the invoice is sent. Thus, the regulations require an ocean carrier to “allow the billed party at least thirty (30) calendar days from the invoice issuance date to request mitigation, refund, or waiver of fees from the billing party.” 46 C.F.R. § 541.8(a). And if the billed party makes such a request, the carrier must investigate and try to resolve the matter with the billed party: “If a billing party receives a fee mitigation, refund, or waiver request from a billed party, the billing party must attempt to resolve the request within thirty (30) calendar days of receiving such a request or at a later date as agreed upon by both parties.” 46 C.F.R. § 541.8(b). By contrast, the regulations regarding invoicing of detention and demurrage do not require the carrier to investigate or take any other steps before sending the invoice. Rather, they simply require that the invoice be sent – to the correct billed party – within 30 days after the charge was last incurred (i.e., 30 days after the container at issue was picked up or returned):

“A billing party must issue a demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred. If the billing party does not issue a demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred, then the billed party is not required to pay the charge.” 46 C.F.R. § 541.7(a).

If a carrier does not meet that tight timetable, then, as quoted immediately above, the carrier loses forever its ability to collect on the invoiced charges.

In addition to the fact that the regulations on their face do not require a pre-issuance investigation, so that any imposition of such a requirement may not be done by fiat, but rather, would require a new rulemaking (specifying both the requirement and the type of investigation needed), any such obligation would be an expensive, and impractical, burden on billing parties. It is hard to imagine how carriers could meet the 30-day deadline if they must first investigate then handle manually the hundreds or thousands of invoices they send for detention or demurrage.

Furthermore, because carriers must investigate after a complaint from the billed party, Complainant's unsupported proposal would in fact require carriers to investigate the same thing twice. And carriers would need to hire many more employees to handle the manual invoicing and duplicative investigation processes. These added costs would need to be recovered by increasing ocean freight and/or the daily amount charged for detention and demurrage. And many (likely most) of these initial investigations would be an unproductive waste of time, as they would turn up nothing (even though the shipper could still challenge the carrier's decision). Moreover, it is the billed party that will possess the relevant facts regarding its shipments, including why its agents could not pick up or return a container on a specific date. As just one example, how is COSCO to know before it sends the invoice that AOT could not use a particular terminal because AOT had only an empty to return and not a load to be picked up?

Finally, even if the Presiding Officer were to find that pre-invoice investigations are necessary, despite the FMC's rules, this could not result in any award of reparations, as there is no proximate cause.

3. AOT suggests that "dual move" requirements are per se unreasonable. For example, it accuses COSCO of engaging in "the unlawful practice of requiring 'dual' transactions to return an empty container (CF 53)." Brief at 11. But as already demonstrated, dual move requirements are imposed by the terminals, not COSCO. Even were the FMC to order COSCO to stop imposing dual move requirements, COSCO does not impose them and cannot do anything about them. Complainant simply has the wrong respondent.

4. AOT appears to assert that COSCO's dispute resolution practices are deficient. Brief at 38. Its only evidence of any deficiency, however, is the fact that COSCO waived only 85 percent of AOT's requests for waiver, not 100 percent. This is like arguing that a baseball team is

deficient because it made the World Series but did not win it. Even apart from that being quite a thin reed, AOT provides absolutely no specifics as to any COSCO procedure it wants the Commission to deem unreasonable. In any event, AOT's argument is totally unavailing. During the relevant timeframe, and continuing through today, COSCO has had an established dispute resolution policy. RPFFs 35-37. The FMC has informally confirmed, in connection with the audit program, that COSCO's dispute resolution meets the agency's guidelines for best practices.

In applying its policy here, COSCO did exactly as the law requires – it reviewed AOT's disputes, determined whether AOT adequately demonstrated that it could not obtain appointments or otherwise make timely returns on certain days at certain terminals for reasons outside AOT's control. COSCO then cancelled those charges (the vast majority), where it concluded that AOT had made a sufficient showing. COSCO thereby complied with the Commission's rules in both letter and spirit. The fact that COSCO and AOT did not see eye to eye on the remaining 15 percent of the shipments says absolutely nothing about COSCO's dispute resolution process. Indeed, it would be entirely foolish to expect that even the best dispute resolution process will result in 100 percent concurrence between the party that issued the invoice and the party that does not wish to pay the invoice.

5. AOT alleges that the mere fact that COSCO waived certain invoices for a given day proves that it should have waived all other charges on that day. That is pure poppycock. AOT does not even try to show that all invoices on the same day are the same. Obviously, they are not. For example, two invoices may have involved different shifts with differing availabilities. Or the denied waivers may have involved situations where there were some spaces available, but not enough for every container, which means some containers could not be returned, while others

should have been. In any event, it is Complainant's burden to prove that all invoices were precisely alike, other than the mere fact that some waivers were granted and others denied.

3. AOT FAILS TO PROVE A VIOLATION OF 46 U.S.C. § 41104(a)(3) and (8)

AOT states in the Brief that [t]he [alleged] violations of 46 U.S.C. §§41104(a)(3) & (8) are predicated on the unlawful practice of requiring "dual" transactions to return an empty container (CF 53). But as previously established, COSCO did not require dual transactions. Any such requirements were imposed by the particular terminal, not COSCO, and there was nothing COSCO could do about the terminal's rules. *See, e.g.*, CF 21; CX01311-CX01418 (eModal instructions on terminal requirements).

Accordingly, Complainant's claim cannot conceivably lie against COSCO. The Presiding Officer should simply dismiss the claims under 46 U.S.C. §41104(a)(3) and 46 U.S.C. § 41104(a)(8) as premised on a falsehood. We nevertheless go on to show that AOT has not come close to proving a claim under either of those sections, starting with 46 U.S.C. § 41104(a)(8).

A. AOT Has Failed to Prove a Violation of 46 U.S.C. § 41104(a)(8)

46 U.S.C. § 41104(a)(8)(emphasis added) provides that, "A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . for ***service pursuant to a tariff***, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage." In order to prevail on a claim that COSCO violated this subsection, AOT must demonstrate that (1) service was provided to AOT; (2) that service was provided pursuant to a COSCO tariff; (3) COSCO imposed a preference or prejudice; and (4) that preference or prejudice was "undue or unreasonable."

But as we have previously shown, and the Brief confirms, AOT has not even alleged the essential elements of a claim under 46 U.S.C. § 41104(a)(8).⁶ And as we now demonstrate, AOT has certainly failed to prove any of those elements.

i. **No Service Was Provided by COSCO to AOT Pursuant to a COSCO Tariff**

AOT argues that dual move requirements are “obviously preferential in nature.” Brief at 44. But even apart from the fact that this is a terminal (not COSCO) policy, this is wrong as a matter of law. Section 41104(a)(8) applies by its terms only where the ocean carrier provided “**service** pursuant to a tariff.” COSCO did not provide any service at all to AOT, much less service pursuant to a tariff. AOT does not claim otherwise.⁷ COSCO did not provide AOT with any transportation services, or any other services of any nature. Nor did AOT compensate COSCO for any services. Further, the obligation of AOT to return a container timely was not established by any COSCO service contract with a shipper/consignee, but rather by a specific **contract** between COSCO and AOT. The fact that the contract may have adopted some of its terms from a tariff is plainly insufficient to render it “service pursuant to a tariff.”⁸ Service contracts also uniformly incorporate tariff terms (mainly by reference), so the argument made by AOT would such service contracts as if they were tariffs, frustrating Congress’s careful attempt to distinguish in the

⁶ See Motion of Respondent for Partial Dismissal (April 8, 2024).

⁷ To the contrary, the Brief discusses only services provided **by** AOT – to the consignee for Merchant Haulage and to COSCO for Carrier Haulage.

⁸ Absent the specific contract between COSCO and AOT, COSCO’s tariff would not have any application to AOT, as it does not apply by its own force to truckers.

prohibited acts between service pursuant to a service contract and service pursuant to a tariff.⁹ Either way, “service” must have been provided to AOT by COSCO.

In any event, AOT has utterly failed to show that it is COSCO’s practice to make no exception for situations where a trucker is not able to return an empty container due to a terminal’s dual move requirement. Quite the opposite. By AOT’s own admission, COSCO waived charges for over 300 containers, including by reason of dual move requirements. Nor has AOT demonstrated that it could not return any of the 61 remaining containers due to dual move requirements.

ii. COSCO Did Not Impose a Preference or Prejudice

To demonstrate that COSCO imposed a preference or prejudice, AOT must show by a preponderance of the evidence that **COSCO** preferred or prejudiced one shipper over another. AOT has not even alleged anything of the sort. Rather, AOT assert’s that the **marine terminals’** dual transaction requirements imposed a preference for certain shippers. It is thus impossible to

⁹ The Shipping Act requires common carriers to provide service to shippers pursuant only to a filed service contract (ocean common carriers only) or a published tariff (VOCCs or NVOCCs). 46 U.S.C. 41104(a)(2). Certain acts are prohibited if they are specifically undertaken pursuant to a service contract. *See, e.g.*, 46 U.S.C. § 41104(a)(5),(a)((9),(a)(12). Other acts prohibited by the Shipping Act only with respect to carriage pursuant to a tariff. 46 U.S.C. § 41104(a)(4), (a)(8).

claim that COSCO (as opposed to the terminals) imposed any preference or prejudice. Indeed, COSCO imposed nothing at all.¹⁰

Even if a terminal's requirements may somehow be attributed by osmosis to COSCO, AOT has still failed to make a case. In order to prove a claim under § 41104(a)(8), a complainant must show that two similarly situated parties were treated differently. *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, 2014 WL 5824274, at *13 (ALJ, Order Granting Motion to Dismiss) (citing *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1270-1271 (FMC 1997); *Volkswagenwerk v. FMC*, 390 U.S. 261 (1968); and *New Orleans Stevedoring Co. v. Board of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 352 (ALJ 2001), *aff'd*, 29 S.R.R. 1066 (FMC 2002)).

Complainant has not even attempted to make such a showing. It contends only that a trucker with a dual transaction may be able to use a terminal when a trucker with only a return may not. But those entities are not similarly situated -- one has both a return and a pickup, while the other has just a return. From the standpoint of the terminal that imposes a dual move requirement, its business interests are quite differently affected by the two entities. The trucker taking away a container at the same time it returns an empty ("dual move") makes exchanges with a single entry at the terminal's gate. By contrast, the trucker with only a return adds to the congestion at the

¹⁰ In any event, the practice of dual transactions, in and of itself, was neither undue nor unreasonable in light of the congestion facing the terminals at the time. Per Commissioner Dye's June 2020 recommendations to address supply chain challenges in San Pedro Bay where the Ports of Los Angeles and Long Beach are located: "Truckers should be directed to return empty containers to the terminal where they were picked up, allowing them to make dual moves and reduce the number of chassis required." Although Complainant refers to Commission concerns about **charges** where a trucker cannot make a return due to a dual move requirement, that says nothing about the reasonableness *vel non* of the terminal restrictions themselves. And as demonstrated above, COSCO **does** waive detention charges if the trucker shows it was unable to return a particular container on a particular day due to dual move terminal rules. COSCO has done so for AOT.

terminal's gate by adding to the queue at the gate only to do one transaction. *See supra* at 5 (discussion of port authorities' dual move incentive programs).

Further, the identity of those truckers that have dual moves and those that do not is far from immutable. Unlike a requirement that, for example, imposes different requirements on female versus male truck drivers, a dual move requirement applies evenly across the board to all truckers alike, so it is impossible to identify which specific truckers benefit and which do not. Trucker A may have a dual move in one case but not in another. The requirement benefits Trucker A in the former case but not the latter. To that end, AOT itself may have dual moves some of the time. Likewise, there is nothing immutable about a particular consignee.

B. AOT Has Failed to Prove a Violation of 46 U.S.C. § 41104(a)(3)

AOT asserts that COSCO violated 46 U.S.C. § 41104(a)(3), both as that provision existed before OSRA22 and as it became effective post-OSRA22, on June 16, 2022. As we now show, AOT is wrong on both counts. We start Post-OSRA 22.

As demonstrated above, AOT's claim may not be asserted against COSCO, because the practice AOT challenged -- requiring dual moves to return empty containers -- belongs to the specific terminal, *not COSCO*.¹¹ In any event, AOT fails to prove its claim.

46 U.S.C. § 41104(a)(3), as amended by OSRA22, prohibits a common carrier from "unreasonably refusing cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods." COSCO of course has not refused cargo space to AOT, and

¹¹ AOT attempts to use nomenclatural legerdemain to weasel out of this inconvenient truth by referring to "COSCO and its terminals." To the extent that AOT is trying to suggest that COSCO owns or controls any of the terminals involved in this dispute, that is simply false, as AOT and its counsel surely know. COSCO has no ownership interest or control over any of the terminals. They are much AOT's as they are COSCO's. And as previously said multiple times, COSCO has no role in or influence over the individual terminal's decisions whether or not to impose dual move requirements. We wish they did not but cannot prevent them from doing so.

Complainant does not assert otherwise. Ignoring the *ejusdem generis* doctrine of statutory construction, AOT would have the Presiding Officer read the remaining language of 46 U.S.C. § 41104(a)(3) expansively, so as to cover whatever action a complainant dislikes with no regard to whether it resembles a refusal of space or duplicates other provisions of the Shipping Act, such as 46 U.S.C. § 41104(a)(8). The Presiding Officer should not, indeed may not, consider this argument, because the Commission itself has spoken:

“The Commission also acknowledges that §41104(a)(3) should not be read so expansively that it renders other prohibitions in Chapter 411 of Title 46 superfluous. **Section 41104 of Title 46, for instance, only prohibits specific types of unfair or unjustly discriminatory conduct.** Section 41104(a)(3) prohibits a common carrier from ‘resort[ing] to other unfair or unjustly discriminatory methods . . . for any other reason.’ **The latter does not swallow the other prohibitions, however, because it is not a flat prohibition on all unfair or unjustly discriminatory conduct.** A complainant must show that a carrier engaged in prohibited conduct (refusing cargo space accommodations or other unfair or unjustly discriminatory methods), with respect to a protected entity (shipper), **because the protected entity engaged in protected activity** (patronizing other carriers, filing a complaint, or other activities of the same class.” *Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 89 Fed. Reg. 59648-59649 n.3 (July 23, 2024) (Final Rule) (codified at 46 C.F.R. § 542) (emphasis added).

Furthermore OSRA-22 covers, at most, a miniscule portion of AOT’s Complaint. Only two of the challenged invoices were issued after the effective date of the Ocean Shipping Reform Act of 2022, June 16, 2022¹²:

- (1) HOU00203129 (issued on 6-Jul-22), located at CX00633; and
- (2) HOU00221666 (issued on 20-Jul-22), located at CX00646.

AOT offers no explanation as to how these specific invoices show an “unfair or unjustly discriminatory method.” Complainant does not even allege, much less demonstrate, that either of

¹² It is certainly arguable that, at least for provisions of OSRA22 addressing matters other than invoicing, the application of OSRA22 is not decided by the date an invoice was issued, but rather on the date that the charge accrued. If so, at least one and possibly both of these charges would be pre-OSRA22.

these invoices reflects a situation where AOT contends it was precluded from returning the containers at issue due to dual move requirements.

Further, AOT is not a “protected entity (shipper).” AOT did not act as a shipper or a consignee. It did not have a service contract with COSCO, nor did it book any cargo with COSCO.

AOT fatuously asserts (at page 47) that the Commission has said that the term shipper in this context should be interpreted with some expansiveness, so as to cover entities beyond the bill of lading shipper that the Shipping Act and FMC regulations define as shippers – viz. “a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or a non-vessel operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.” **But AOT is none of those** – it does not own the cargo; it is not responsible for payment of ocean freight, so cannot be the party for whose account the transportation is provided; it is not the person to whom delivery is to be made (that is the consignee); and it is certainly neither a shippers’ association nor an NVOCC.

Likewise, AOT has failed to prove that it engaged in a “protected activity.” It makes a vague assertion about patronizing other carriers, but it is clear beyond peradventure that truckers **do not patronize ocean carriers** – not COSCO and not any other any other ocean carrier. The dictionary defines “patronize” as meaning “to be a frequent or regular customer or client of.” Merriam-Webster Online Dictionary. As previously established, AOT is not a customer or client of COSCO. For merchant haulage, the consignee is AOT’s customer, which hires AOT to provide the haulage and compensates AOT for doing do. And for carrier haulage, it is the ocean carrier (here COSCO), that patronizes AOT, not the other way around.

i. § 41104(a)(3) Pre-OSRA22

Pre-OSRA § 41104(a)(3) applies to retaliation against a shipper or resort to other unfair or unjust discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason. Thus, this section has additional elements beyond those of the statute post-OSRA. First, the carrier must engage in an actual act of retaliation; that is, the challenged carrier actions must have been specifically intended to return like for like or get revenge.¹³ The second element is that there must be a specific type of “protected” antecedent act by the complainant that brought about the allegedly retaliatory conduct by the carrier. *OJ Commerce, LLC v. Hamburg Sud*, 2024 WL 4034610 (F.M.C. Aug. 27, 2024) (“OJ Commerce”).

There is no allegation here that AOT brought a complaint against COSCO at the FMC before the challenged conduct or that the challenged COSCO conduct was in response to AOT having “patronized” another ocean carrier. Accordingly, AOT’s claim is necessarily limited to the proposition that COSCO retaliated against it for “any other reason.”

The term “any other reason” might, on its face, appear quite broad. But the Commission has, both before and after OSRA22, applied a narrow interpretation of that term, limiting it to antecedent acts that closely resemble those specifically set out by Congress. In *Statement of the Commission on Retaliation* Docket No. 21-15, (FMC, December 28, 2021) (available at https://www2.fmc.gov/ReadingRoom/docs/21-15/21-5_Policy_Retaliation.pdf/) (“Statement”), an informal, non-binding statement of guidance regarding retaliation, the Commission recognized that the term any other reason must be interpreted in clear accord with the actions specifically denominated by Congress:

¹³ Per Merriam-Webster, *retaliate* means “to return like for like especially : to get revenge; for example, the enemy retaliated by executing their prisoners.”

“Under the ejusdem generis canon of statutory construction, general words following a list of particular classes of things are construed as applying only to things of the same class as those listed. Cal. Shipping Line, 1990 FMC LEXIS 25 at *40 n.19.” (Emphasis added) (Statement at 7 n.36).

Accordingly, the Commission explained: a claim of retaliation must be based on proof that the carrier acted “because the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, or other activities of the same class).” The statement likewise says:

“The Commission interprets “any other reason” to mean that protected activity under § 41104(a)(3) includes other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures.” Statement at 7.

And it further states:

“The Commission also acknowledges that § 41104(a)(3) should not be read so expansively that it renders other prohibitions in Chapter 411 of Title 46 superfluous. . . . The latter does not swallow the other prohibitions, however, because it is not a flat prohibition on all unfair or unjustly discriminatory conduct. A complainant must show that a carrier engaged in prohibited conduct (refusing cargo space accommodations or other unfair or unjustly discriminatory methods), with respect to a protected entity (shipper), because the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, or other activities of the same class).” Statement at 9.

The Commission and its Administrative Law Judges have had a few opportunities to expound on the issue of what falls within the same class as filing a complaint. The informal Statement says that the class may include “other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures.” None of these are involved here.

Access One has already “concede[d] that as a motor carrier, it is not in and of itself a ‘shipper’ of cargo,” but argues that the term shipper is meant to be expansive. Opposition to Respondent’s Motion for Partial Dismissal at 8 (May 7, 2024). But it has cited no case or other

precedent saying that a complainant may succeed on a claim under § 41104(a)(3) without proving that the ocean carrier's actions were directed against an actual shipper. In this case, AOT has not demonstrated that any shipper at all was affected by the actions in the Complaint or that any shipper was harmed as a result by COSCO's actions. To the contrary, AOT apparently disclaims any suggestion that it passed on any of the payments it allegedly made to third parties to the shipper/consignee. Instead, AOT sent a bill for those purported expenses to COSCO.

4. AOT HAS NOT PROVEN A RIGHT TO ANY FORM OF REPARATIONS

As with liability, Complainant bears the burden of proving its entitlement to reparations. *See, e.g., Muzorori v. Canada States Africa Lines*, FMC Dkt. 1949(F), 2015 WL 9582593 (I.D. Dec. 23, 2015). The Shipping Act authorizes the Commission to award reparations only “for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b). The word “actual” was added by the Shipping Act of 1984 in order to “limit damages to the amount of actual injury.” *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co.*, 26 S.R.R. 788, 798 (I.D., Admin. Final 1992) (quoting from the *Conference Report on the Shipping Act of 1984*).

Because Complainant has failed to show that COSCO violated the Shipping Act, reparations are automatically foreclosed. But even assuming *arguendo* that Complainant has proven a violation – which it has not – Complainant has failed to establish its right to reparations.

AOT asks for two wholly different types of reparations: (i) refund of the allegedly improper detention charges it paid to COSCO, and (ii) consequential damages it claims to have incurred because it could not make timely return of empty containers. As we now show, AOT has not proven its right to either.

A. Reparations for Unwaived Detention Charges

AOT seeks cancellations, waiver, or refund of 61 disputed container charges in the amount of \$42,795.00. CX01430-CX01439 (Column U). AOT, however, has not provided any support whatsoever to show that it could not have returned containers on 10 of the 25 dates it alleges COSCO has already waived. Nor has it proffered any evidence herein (whether Blue Cargo screenshots or eModal communications) that it could not have returned containers on those 10 days. RPFF69.

Of the 61 disputed container charges, 19 containers incurred detention charges at least partially on those May 2022 dates for which AOT has not provided evidence demonstrating that no terminal appointments were available (RPFF70) (*compare* CX01430-01439 with CX01092-01302), listed above. These invoices amount to \$18,435.00. *See* RPFF71. Therefore, the maximum amount that could be supported by any evidence, however unconvincing, in the record for 15 days on the unwaived amounts for the remaining 42 containers amounts to \$27,560.

B. AOT Has Not Demonstrated a Right to Consequential Damages

AOT seeks reparations for costs that it allegedly incurred due to its inability to return empty containers in a timely manner. Apart from the fact that the request for reparations is necessarily forbidden by AOT's failure to prove any violations of the Shipping Act, this claim is not legally cognizable under the Shipping Act because: (i) AOT has failed to demonstrate that the alleged injury was proximately caused by any plausible violation of the Shipping Act; (ii) AOT has failed to show the quantum of its purported injury with reasonable certainty; and (iii) Complainant failed to mitigate its damages (if any).

i. Failure to Demonstrate Proximate Cause

As the text of the Shipping Act itself attests (“actual injury **caused by** a violation of this part” 46 U.S.C. § 41305(b) (emphasis added)), proof of proximate cause is an essential requirement for reparations, an element that the complainant is required to prove. This statutory requirement is reflected in 46 C.F.R. 545.4, which states that “46 U.S.C. § 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations: . . . (e) The practice or regulation is the proximate cause of the claimed loss.” In *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 26 F.M.C. 497 (I.D. 1984) *adopted*, 26 F.M.C. 496 (1984), for example, the Commission stated that “an essential element in a complainant’s case for reparations is a demonstration of injury and the statutory violation as **proximate cause** of such injury.” (Emphasis added). Elsewhere, the Commission has held that a complainant “must prove with ‘competent evidence’ that [he] sustained actual loss or injury and that the violation of law was the **proximate cause** of that loss or injury with ‘**reasonable certainty**.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Dkt. 96-05, 29 S.R.R. 119, 187 (FMC 2001) (emphasis added) (quoting *California Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, FMC Dkt. 88-15, 25 S.R.R. 1213, 1230 (FMC 1990)). Or as the Presiding Officer explained in *Muzorori, supra*, FMC Dkt. 1949(F):

In order to recover reparations, a complainant must show with reasonable certainty that the violation of law is the proximate cause of the loss or injury. *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. at 25.” See, e.g., *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal District*, 2003 30 S.R.R. 8, 13 (FMC 2003) (“As the Commission has previously explained, ‘an essential element of a complainant’s case for reparation is a demonstration of injury and the statutory violation as proximate cause of such violation’”).

Furthermore, as the Commission has explained, the fact of a violation does not by itself establish a right to reparations. The complainant must still prove both the fact and the amount of

the injury and that such injury was proximately caused by the specific violation shown. *See, e.g., Kobel v. Hapag-Lloyd A.G.*, 2014 WL 5316331, at *12–13 (“Complainants have the burden of proving entitlement to reparations. As the Federal Maritime Board explained long ago: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.”); *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal District*, 30 S.R.R. 8, 13 (FMC 2003) (“damages must be the proximate result of violations of the statute”); *DSW International, Inc. v. Commonwealth Shipping Co.*, 2011 WL 7144019 (I.D. 2011) (“The Commission may only provide relief if the damage or loss is proximately caused by a respondent’s violation of the Shipping Act”).

Even assuming *arguendo* that AOT has demonstrated a Shipping Act violation by COSCO – which it has not – the only violation it might plausibly have proven is that COSCO erred by assessing detention for days when AOT allegedly could not return empty containers. Any such violation is not even the “but for” cause of Complainant’s alleged consequential damages, much less the “proximate cause” of its purported injury.

AOT’s claim for consequential damages relates solely to additional costs it allegedly incurred when it was unable to return empty containers – e.g., chassis and storage costs. But as demonstrated above, an ocean common carrier does not violate the Shipping Act by being unable to always provide space for empty container return whenever demanded by the consignee or its trucker. Any such claim is, at best, a common law claim, over which only the courts have jurisdiction under their maritime and admiralty jurisdiction. As expressed in the Interpretive Rule and *TCW*, a violation of the Shipping Act occurs **only** when the ocean carrier **charges** the consignee/trucker detention for days when the *TCW* criteria do not permit such charges.

But the detention charges assessed by COSCO have absolutely no causal connection with the consequential damages requested by AOT. Even if COSCO had not assessed any charges, AOT would still have incurred the exact same charges for chassis, storage, and the like. That is because the source of the harm is not any violation of the Shipping Act (improper charges), but rather the fact that it could not return containers at times of its own choosing. There is thus no proximate cause or even “but for” causation between the alleged injury and any Shipping Act violation AOT has plausibly proven.

Complainant has effectively conceded the lack of proximate cause. Indeed, its admission is highlighted in a caption on Page 41 of the Brief (emphasis added): “COSCO’s **actions** proximately caused damage to Access.” The Shipping Act, however, does not authorize an award of reparations for “actions,” but only for violations of the Shipping Act. Other than the unsupported assertion, disproven above, that the Shipping Act requires ocean carriers to provide infinite amounts of space, AOT has failed entirely how its purported injury resulted from any violation by COSCO – whether proximately or as a matter of “but for” causation.

Complainant’s failure to prove proximate cause here is much like the failure to do so addressed by the Commission in *Prudential Lines, supra*. There, two respondents had violated the Shipping Act by cooperating in an unlawfully unfiled space charter arrangement that competed with the complainant, and one of them violated the Act by operating without a requisite tariff. But reparations were denied because the complainant failed to prove proximate cause. As the ALJ there concluded and the Commission affirmed, the proximate cause of the complainant’s alleged injuries was the new competition, not the failure to file the agreement necessary to legitimize that consideration. And as the Commission concluded: “Although Farrell is found to have violated . . .

the Shipping Act 1916, there has been no showing that there was a causal connection between that violation and any ‘injury’ PLI may have suffered.”¹⁴

ii. Failure to Prove “Actual” Injury

As explained above, a complainant seeking reparations must establish both the fact and the amount of injury with “reasonable certainty.” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Dkt. 96-05, 2001 WL 865708 at *76 (F.M.C. 2001); *see also Prudential Lines, Inc. v. Farrell Lines, Inc.*, FMC Dkt. 83-14, 22 S.R.R. 1054, 1058 (I.D. 1984). As the Commission stated in *California Shipping Line v. Yangming Marine Transport Corp.*, FMC Dkt. 88-15, 25 S.R.R. 1213, 1230 (FMC 1990), for example, “[t]o warrant recovery, the actual detriment must be shown by competent evidence and with reasonable certainty.”

AOT has not demonstrated either the fact of consequential injury or the quantum thereof with competent evidence or the reasonable certainty necessary to justify an award of reparations. Quite to the contrary, its claims are, at best, speculative, undocumented, and based on self-serving testimony unsupported by evidence.

Complainant asserts that it incurred costs because it could not return empty containers on the day it saw fit to do so. But as the D.C. Circuit explained, the purpose of detention charges is to incentivize early return, not to encourage procrastination. Thus, as the court said, a charge for Saturday may be appropriate, despite the fact that the facility was closed, to incentivize return on Friday. AOT has not even alleged that it could not return containers earlier than the due date. Further, it is clear that AOT did not even attempt to return multiple containers before free time expired.

¹⁴ To like effect, *see KCS International, Inc. v. RTM Line, Ltd.* 1995 WL 301960 at * 4 (SO 1996) (denying reparations for costs that would have been incurred even without the alleged violation).

In any event, if AOT actually incurred expenses, it would necessarily have documentary proof. It would, for example, have received invoices for extended use of chassis. No such documents have been put into the record by AOT. Accordingly, its claim is not creditable.

The failure to document its assertions is even more important in the context of AOT attempting to establish the sum of additional charges it purportedly paid. As the Commission has stated, and the D.C. Circuit has upheld, in cases involving added costs, the Shipping Act limitation of reparations to “actual injury” means that “the fact of injury and the *exact* amount of pecuniary damage must be shown by further and other proof.” *States Marine Lines v. Federal Maritime Commission*, 313 F.2d 906 (D.C. Cir. 1963).

To prove that it incurred expenses at all, much less a specific sum of expenses, it would have been necessary for AOT to provide: (i) invoices for the added costs, and (ii) proof that it paid such amounts. In *Government of the Territory of Guam v. Sea-Land Service, Inc.*, Docket No. 89-26, 29 S.R.R. 894 (ALJ, Admin. Final 2002) (emphasis added), for example, Judge Dolan held that “there can be no presumption that bills are paid and that documentary evidence to demonstrate payment is required.”

This requirement for proof of payment was fully consistent with FMC precedent. In *Cotton Import & Export Co. v. Sea-Land Service, Inc.*, 20 S.R.R. 260 (FMC 1980), for example, the Commission held that, in order to obtain reparations, complainant would need to demonstrate that it paid for the shipments, by providing copies of both the front and the backs of checks (as both sides are required to prove that the check was endorsed and paid) and stated that even then, reparations would need to be denied if there was any question whether the front and back came from the same check. Similar conclusions abound, of which we cite just a few. *See, e.g., Snyder General Corp. v. South African Marine Corp.*, 25 S.R.R. 373 (I.D., Admin. Final 1983) (partially

illegible checks insufficient to document payment for purposes of reparations); *Mine Safety Appliance Co. v. Springbok Shipping Co.*, 20 S.R.R. 410, 413 (S.O. 1980) (documents showing that freight bill was presented for payment but not that payment was made held insufficient); *Refinement Int'l Co. v. Eastbourne*, 815 F. Supp. 738, 744 n.11 (S.D.N.Y. 1993) *aff'd*, 25 F.3d 105 (2d Cir. 1994) (check duplicates not showing cancellation inadequate to show payment); *Ruberto v. Commissioner of Internal Revenue*, 774 F.2d 61, 64 (2d Cir. 1985) (where matching of fronts and backs was unclear, claimant would need to produce original checks to prove payment).

In *Transworld Shipping (USA), Inc. v. FMI Forwarding (San Francisco), Inc.*, FMC Dkt. 01-02, 2001 WL 1085436 at *5–6 (I.D. Aug. 3, 2001), the complainant sought reparations for unpaid freight without documentary evidence that the respondent received those payments from shippers. Dismissing this argument, Judge Lang stated, “the Commission . . . may not base its findings on speculation and conjecture.” Speculation, however, is precisely what AOT urges here.

Astoundingly, AOT has not submitted a single invoice that it purportedly received for charges or costs incurred by reason of its inability to return containers on any specific date. Nor, fatally, has it presented any documentary proof that it paid such invoices. Instead, AOT presents unsolicited and unprecedented invoices that **AOT sent to COSCO**, attempting to assess COSCO for alleged storage charges, chassis charges, stop over charges, and re-delivery charges. But sending an invoice proves neither that the recipient owes the amount invoiced, nor that the sender actually incurred the charges identified on the invoice. AOT could just as easily send an invoice to the Presiding Officer, but nobody would accept that invoice as proof that AOT incurred expenses in the amount stated, much less that AOT paid those invoices.

AOT also relies on testimony from its Founder and President (CPFF at 48 (citing Suzuki Decl., CX01443)) for both the claim that AOT incurred non-COSCO charges and the assertion

that it paid those charges/incurred those costs. But that testimony, unsupported by any invoices or proof of payment, can hardly be deemed “competent evidence” proving the facts alleged with “reasonable certainty.”

As Judge Hervey recently explained, self-serving statements by a complainant’s officers or employees are insufficient to support a claim for reparations: “other than the self-serving statements of MTL’s principles, there is no evidence to corroborate this claim.” *Marine Transport Logistics, Inc. v. CMA CGM, S.A.*, FMC Dkt 22-23, WL 5229686 at 32 (I.D. dismissing complaint, December 18, 2024).

As in *MTL*, the testimony here is unsupported by any evidence as to the veracity and accuracy of the testimony. Almost all of the amounts claimed are based exclusively on the declarant’s *ipse dixit* and heavily reliant on memory, faulty though that often is.

iii. Individual Categories of Consequential Damages

Although, for the reasons listed above, AOT cannot be awarded consequential damages at all, we nevertheless address specific categories of such damages.

a. Chassis Storage

AOT alleges it is owed chassis storage costs and seeks reparations in the amount of \$115,975.00. Brief at 11; CPFF51. AOT invoiced COSCO for this charge at a rate of \$45.00 per day for a “chassis storage charge.” See, e.g., CX00714. AOT says that this rate was “commercially acceptable” [CPFF92] (although not to whom) but relies only on self-serving declarations of its principal Mr. Suzuki that those rates were, “reasonable.” But AOT has failed to submit any documentation showing that such a daily rate was “commercially reasonable.” Nor is there any evidence in the record that AOT actually paid such charges. For all we know, this may well be an attempt by AOT to reap a windfall.

b. Chassis Rental

AOT alleges that it paid chassis rental charges and seeks reparations in the amount of \$103,080. Brief at 11; CPFF51. AOT's invoice to COSCO demanded \$40.00 per day for this charge. *See, e.g.*, CX00714. As with the purported chassis storage costs, there is no credible evidence in the record supporting the reasonableness of a \$40.00 per day charge for chassis. And again, there is absolutely no evidence in the record demonstrating that AOT actually paid those alleged charges, which under the *The Government of Guam* case flatly precludes any award of reparations.

COSCO did not provide chassis to the consignee or to AOT. The daily rental of chassis was controlled by AOT. Any costs AOT may have expended for the daily rental of chassis were not – and could not have been – the result of any violation of the Shipping Act.

In commentary on its *Final Rule on Demurrage and Detention Billing Requirements*, the FMC declined to expand the proposed definition of demurrage and detention to include charges related to the use of chassis stating,

the definition of “demurrage or detention” in this rule is the same as the scope used in 46 CFR 545.5(b). Section 7, paragraph (b)(2) of OSRA 2022 directs that this rulemaking “only seek to further clarify reasonable rules and practices related to the assessment of detention and demurrage charges to address the issues identified in [the 2020 Interpretive Rule].” Expanding the scope of the definition of “demurrage and detention” in this rule beyond the term's definition in the 2020 Interpretive Rule would be contrary to statute because it would require us to address issues not identified in that Interpretive Rule. 89 Fed. Reg. 14337.

c. Stop-Over

AOT alleges actual injury for stop-over or “stop off” charges and seeks reparations in the amount of \$30,750.00. Brief at 11; CPFF51. AOT invoiced COSCO at the rate of \$125.00 for each incidence of a stop-over charge. *See, e.g.*, CX00714. As with AOT's other allegations, there is

nothing in the record to show that this per-incident rate (1) was caused by the alleged violations of the Shipping Act, (2) was “commercially reasonable,” or (3) was ever actually paid by AOT.

d. Re-Delivery

AOT alleges actual injury for re-delivery charges and seeks reparations in the amount of \$19,680.00. AOT claims that it paid \$80.00 per alleged re-delivery. *See, e.g.*, CX00714. However, AOT does not provide any evidence to show it paid that amount to its drivers or otherwise made such expenditures. Nor does AOT show how these alleged costs were related to the violations of the Shipping Act it alleges. As with AOT’s other allegations, there is nothing in the record to show that this per-incident rate was either “commercially reasonable” or that it was ever actually incurred and paid by AOT.

C. AOT is Not Entitled to Additional Damages Under 46 U.S.C. § 41305(c)

46 U.S.C. § 41305(c) authorizes (but does not require) the Commission to award additional amounts over the actual injury for violations of §§ 41102(c) and 41104(a). As shown above, COSCO has not violated either of those provisions, nor, in any event, has AOT shown that the alleged violations caused it any actual injury. 46 U.S.C. § 41305 contains the same requirement for the award of additional injuries: namely, proof that the actual injury was caused by an activity prohibited by § 41102(c) or § 41104(a). As AOT has not shown that its alleged actual injuries were caused by any alleged violation, the Commission lacks the authority to award additional amounts.

D. AOT Failed to Mitigate its Damages

Although COSCO did not violate the Shipping Act and no proximately caused injury has been demonstrated, we note as a matter of gilding the lily that Complainant had a duty to mitigate the loss. *See, e.g.*, *APL Co. PTE Ltd. v. Blue Water Shipping U.S. Inc.*, 592 F.3d 108, 111 (2d Cir. 2010); *Glenn Distribs. Corp. v. Carlisle Plastics, Inc.*, 297 F.3d 294, 302-303 (3d Cir. 2002);

Holbrook Chipper, Inc. v. Georgia-Pacific Corp., 81 F.3d 168, 1996 WL 136915 (9th Cir. 1996). The mitigation principle states: “[A] party who has been wronged by a breach of contract may not unreasonably sit idly by and allow damages to accumulate. Such damages are not proximately caused by the breach. The law does not permit the wronged party to recover those damages that “could have [been] avoided without undue risk, burden, or humiliation.” Corbin Contracts, § 57.11 (2005) (quoting Restatement (Second) of Contracts § 350 (1981) and citing *S. J. Groves & Sons Co. v. Warner Co.*, 576 F.2d 524 (3d Cir. 1978), Charles J. Goetz & Robert E. Scott, *The Mitigation Principle: Toward a General Theory of Contractual Obligation*, 69 Va. L. Rev. 967 (1983)). The mitigation principle only applies to mitigation actions the injured party takes after a breach, not to actions taken prior to a breach in order to prevent damages. *Home Indem. Co. v. Lane Powell Moss & Miller*, 43 F.3d 1322, 1329 (9th Cir. 1995).

The Commission has indicated the mitigation principle may be relevant to the damages analysis. *California Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, FMC Dkt. 88-15, 25 S.R.R. 1213, 1231 (FMC 1990). In *Rose Int'l*, the Commission stated that the “[m]itigation is a principle used in damages analysis to prevent a party from recovering damages for losses it could have reasonably avoided without an undue risk or burden, and is one applied by the Commission.” *Rose Int'l*, FMC Dkt. 96-05, 29 S.R.R. at 191. In this case, AOT could have mitigated its damages by better management of its dispatch operations or by returning empty containers on the weekend, which it evidently chose not to do. Even though the facilities for return were available. We see no reason why the Commission should honor AOT’s apparent refusal to work on weekends. And if AOT doesn’t wish to work on weekends, it should make greater efforts to return empty containers during free time (which it did not always do), rather than wait until free time has run.

Moreover, AOT could have sought immediate relief from a UIIA Arbitration Panel if COSCO failed to timely provide it with an adequate return location. But it did not. It appears AOT may have failed to prioritize the return of the longest-overdue containers, thus compounding any alleged storage costs it incurred. See e.g., CX01430-CX01439 (compare CSNU7230366 and SEKU4583698). AOT could have mitigated its alleged storage costs by returning the longest-overdue containers first, but it did not. It could have mitigated any alleged “stop over” and “re-delivery” costs by returning the containers to the alternative location provided by COSCO, but it did not. Instead, AOT chose to move empty containers from the consignee’s location back to its own container yard.

Finally, any additional daily fees for chassis rentals could have been mitigated in the same way. AOT did not, however, undertake any such measures.

CONCLUSION

For the foregoing reasons, the Presiding Officer should dismiss the Complaint. And even if the Presiding Officer were to find violations by COSCO, there is no basis for awarding reparations. Even assuming *arguendo* that Complainant can demonstrate a right to reparations for the 42 containers for which AOT provided some (albeit insufficient) evidence that it could not return them during the demurrage period for reasons outside its control, Complainant’s losses would be capped at a total amount of \$27,560.

Dated: January 21, 2025

Respectfully submitted,

A handwritten signature in dark ink, appearing to read "Kaya Massey", with a stylized flourish at the end.

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CERTIFICATE OF SERVICE

I hereby certify that on this 65 21st day of January, 2025, a true and correct copy of the foregoing **Respondent's Opposition Brief** together with **Respondent's Responses to Complainants Proposed Findings of Fact, Respondent's Proposed Findings of Fact, and Respondent's Appendix** was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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